

Systematic ETF decay sleeve

(Illustrative investor overview)

Sleeve objective. Harvest structural headwinds embedded in daily-reset leveraged and structured ETFs versus hedges, while targeting muted directional beta.

Reporting. Gross leverage scenarios from 2.5x to 4x. Benchmark is SPY (total return) for context only.

Performance exhibit. Backtest window begins **January 2024** (see final page). Open calendar years show return as YTD.

Executive summary

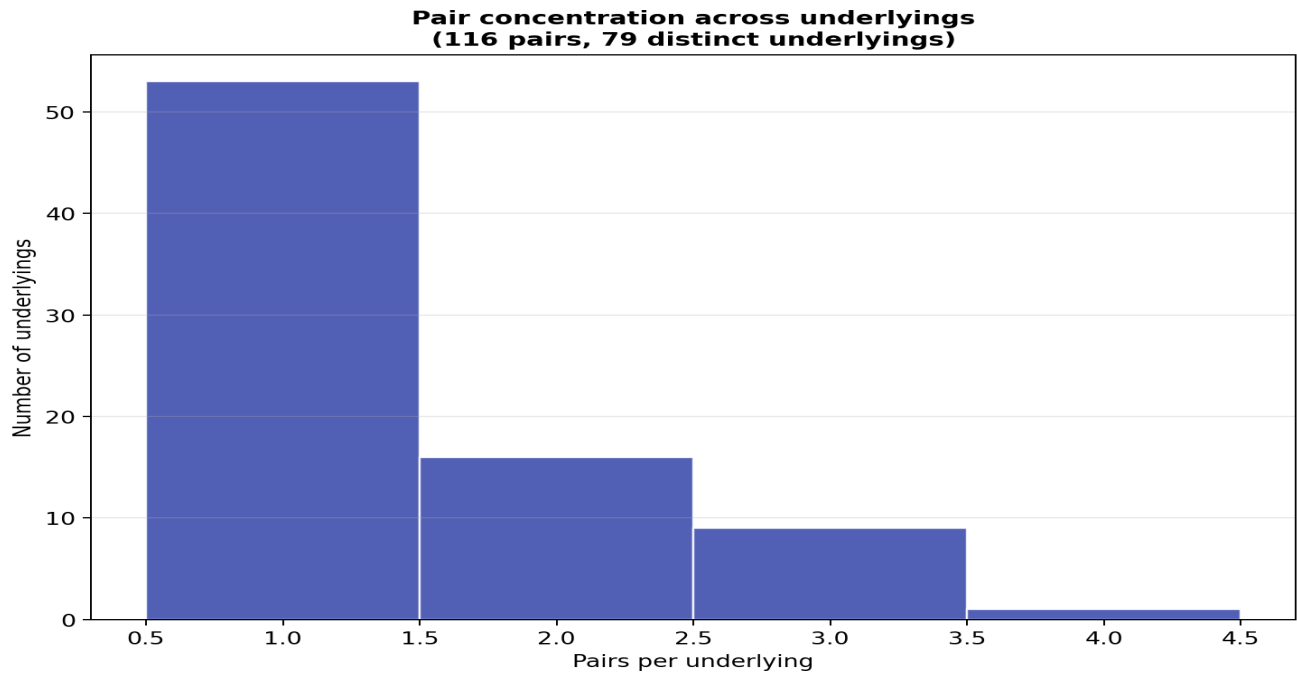
Leveraged and inverse ETFs are engineered around **daily percentage** exposure targets. Compounding through resets creates **path dependence**: multi-period returns diverge from naive beta-times-underlying intuition, especially when volatility clusters.

The sleeve sells decay-heavy ETF legs and hedges with underlying (or tight proxies), aiming to isolate structural decay while controlling directional drift. Borrow, financing, liquidity, and gap risk remain material: diversification and sizing discipline matter.

Confidential and illustrative only. Not an offer or solicitation. Past or modeled performance is not indicative of future results.

Diversification and path dependence

The modeled sleeve spans **116 pairs** across **79 underlyings**. Breadth reduces single-name gap risk but does not remove regime shifts or financing shocks.



Top 15 pairs by gross (liquidity snapshot)

ETF	Und	Wt	Gross	%ADV	%AUM
ASTX	ASTS	0.028	2.67M	1.21%	0.28%
CWVX	CRWV	0.026	2.41M	1.29%	0.66%
IRE	IREN	0.026	2.40M	0.38%	0.17%
SNDU	SNDK	0.026	2.40M	1.14%	0.66%
NEBX	NBIS	0.026	2.40M	1.02%	0.38%
SNXX	SNDK	0.025	2.38M	0.04%	0.03%
NBIG	NBIS	0.025	2.37M	3.24%	1.85%
CRWG	CRWV	0.025	2.37M	0.67%	0.52%
LABX	ALAB	0.023	2.14M	3.47%	1.01%
NBIL	NBIS	0.022	2.07M	1.27%	1.01%
CLSX	CLSK	0.021	1.98M	7.57%	2.58%
OKLL	OKLO	0.020	1.92M	0.72%	0.24%
CRCG	CRCL	0.020	1.89M	0.70%	0.48%
BMNG	BMNR	0.020	1.88M	0.90%	1.64%
NVTX	NVTS	0.020	1.84M	3.46%	1.37%

Performance vs SPY (total return)

Inception through latest backtest date. Full-sample CAGR, annualized volatility, and max drawdown versus SPY at each reported gross multiple.

Metric	SPY	2.5x gross	3x gross	3.5x gross	4x gross
CAGR (full sample)	22.47%	8.69%	10.37%	11.21%	12.04%
Ann. volatility	16.02%	3.46%	4.16%	4.86%	5.56%
Max drawdown	-18.76%	-2.69%	-3.23%	-3.85%	-4.55%

2024 start detail. The chart shows annualized returns for full calendar years and YTD for the open year across gross scenarios.

